4.2.5 Fiscal policy and supply-side policies

4.2.5.1 Fiscal policy

Content	Additional information
• Fiscal policy involves the manipulation of government spending, taxation and the budget balance. • Fiscal policy can have both macroeconomic and microeconomic functions. • How fiscal policy can be used to influence aggregate demand. • How fiscal policy can be used to influence aggregate supply. • How government spending and taxation can affect the pattern of economic activity. • The types of and reasons for public expenditure. • Why governments levy taxes. • The difference between direct and indirect taxes. • The difference between progressive, proportional and regressive taxes. • The principles of taxation, such as that taxes should be equitable. • The role and relative merits of different UK taxes. • The relationship between the budget balance and the national debt. • Cyclical and structural budget deficits and surpluses. • The consequences of budget deficits and surpluses for macroeconomic performance. • The significance of the size of the national debt. • The role of the Office for Budget Responsibility.	Students should be able to assess the economic significance of changes in the level and distribution of both public expenditure and taxation. They should be able to discuss the issue of the budget balance and be able to evaluate the possible economic consequences of a government running a budget deficit or budget surplus. They should be able to assess the impact of measures used to rebalance the budget.

4.2.5.2 Supply-side policies

Content	Additional information
• The difference between supply-side policies and supply-side improvements in the economy. • How supply-side policies can help to achieve supply-side improvements in the economy. • How supply-side policies, such as tax changes designed to change personal incentives, may increase the potential output of the economy and improve the underlying trend rate of economic growth. • How supply-side policies can affect unemployment, the rate of change of prices and UK external performance, as reflected in the balance of payments on current account. • The role of supply-side policies in reducing the natural rate of unemployment. • Free market supply-side policies include measures such as: tax cuts, privatisation, deregulation and some labour market reforms. • Interventionist supply-side policies include measures such as: government spending on education and training, industrial policy, subsidising spending on research and development. • Supply-side policies can have microeconomic as well as macroeconomic effects.	Students should recognise that supply-side changes in the economy often originate in the private sector, independently of government, eg through productivity improvements, innovation and investment. Students should recognise that supply-side policies can involve government intervention to deal with market failures such as short-termism, as well as policies to improve economic incentives and the operation of markets.